



National
Qualifications
2015

2015 Accounting

New Higher

Finalised Marking Instructions

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General Marking Principles for Higher Accounting

This information is provided to help you understand the general principles you must apply when marking candidate responses to questions in this paper. These principles must be read in conjunction with the detailed marking instructions, which identify the key features required in candidate responses.

- (a) Marks for each candidate response must always be assigned in line with these General Marking Principles and the Detailed Marking Instructions for this assessment.
- (b) Marking should always be positive. This means that, for each candidate response, marks are accumulated for the demonstration of relevant skills, knowledge and understanding: they are not deducted from a maximum on the basis of errors or omissions.
- (c) If a specific candidate response does not seem to be covered by either the principles or detailed Marking Instructions, and you are uncertain how to assess it, you must seek guidance from your Team Leader.
- (d) Consequentiality subsequent to a calculative error must be followed through, with credit being given for any errors in subsequent calculations or working.
- (e) Scored out or erased working which has not been replaced should be marked where still legible. However, if the scored out or erased working has been replaced, only the work which has not been scored out should be marked.
- (f) (i) For questions that ask candidates to “Describe ...”

Candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation.

Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question:

- **1 mark** should be given for each relevant factual point.
- **1 mark** should be given for any further development of a relevant point, including exemplification when appropriate.

- (ii) For questions that ask candidates to “Outline ...”

Candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics.

Up to the total mark allocation for this question:

- **1 mark** should be given for each accurate statement.

Detailed Marking Instructions for each question

Section 1

Question			Expected Answer(s)			Max Mark	Additional Guidance
1.	(a)	(i)	Income Statement (Trading, Profit and Loss) for Thomson and Affleck for year ending 30 December Year 2 ✓				
				£	£	£	
			Revenue (Sales)			160,000	1 for both
			Less Revenue Returns (Sales Returns)			10,000	
						150,000	
			LESS COST OF SALES (GOODS SOLD)				
			Opening Inventory (Stock)		15,000		1 for opening and closing
			Add Purchases	30,000			1 for both
			Add Carriage In	<u>2,000</u>	<u>32,000</u>		
					47,000		
			Less Closing Inventory (Stock)		<u>5,000</u>		
					42,000		
			Add Warehouse Wages	2,000			1 for here and expenses
			Add Warehouse Rent	<u>1,500</u>	<u>3,500</u>		1 for here and expenses
			COST OF SALES (GOODS SOLD)			45,500	
			GROSS PROFIT ✓			104,500	

Question			Expected Answer(s)				Max Mark	Additional Guidance
			LESS EXPENSES					
			Wages		1,000		As above	
			Rates (4-1)		3,000		1	
			Electricity (6+2)		8,000		1	
			Rent		500		As above	
			Interest on Partners Loan (20*5%/2)		500		1	
			Depreciation on Vehicles		8,000		1	
			Depreciation on Machinery		32,500		1	
			Discounts allowed		2,000	55,500		
						49,000		
			ADD INCOME					
			Decrease in provision for bad debts		1,000		1	
			Add Discount Received		3,000	4,000	1 for both DISCOUNTS	
			PROFIT FOR THE YEAR (NET PROFIT)			53,000		
			ADD INTEREST ON DRAWINGS					
			Thomson		320			Check correct treatment.
			Affleck		240	560	1 for both	
						53,560		
			LESS APPROPRIATIONS					
			Interest on Equity (Capital)					
			Thomson		1,500			Check correct treatment.
			Affleck		750		1 for both	
			Salary - Thomson		5,500	7,750	1 (only if bonus added if relevant) -	Consequential on profit for year > £50,000
			Residual Profit			45,810		
			SHARE OF PROFIT					Consequential on residual profit for year.
			Thomson (2/3)		30,540			
			Affleck (1/3)		15,270	45,810	1 for both	
			ONE FOR ALL LABELS AND HEADINGS CORRECT				17 total	

Question		Expected Answer(s)					Max Mark	Additional Guidance
	(ii)	CURRENT ACCOUNT THOMSON						
		DATE	DETAILS	DR	CR	BALANCE		
			Balance		7,000	7,000		
			Interest on Drawings	320		6,680		
			Drawings	8,000		1,320		
			Interest on Capital		1,500	180		
			Salary		5,500	5,680		c
			Share of Profit		30,540	36,220		c
		CURRENT ACCOUNT AFFLECK						
		DATE	DETAILS	DR	CR	BALANCE		
			Balance	2,000		2,000		1 for opening balances, layout and nomenclature.
			Interest on Drawings	240		2,240		1 for both.
			Drawings	6,000		8,240		1 for both.
			Interest on Capital		750	7,490		1 for both.
			Interest on Loan		500	6,990		1 for interest on loan and salary - c
			Share of Profit		15,270	8,280		1 for both - c
								6 total

Question			Expected Answer(s)			Max Mark	Additional Guidance
			STATEMENT OF FINANCIAL POSITION (BALANCE SHEET) OF THOMSON AND AFFLECK AS AT 31 DECEMBER YEAR 2 ✓ 1*				
				£COST	£DEPN	£NBV	
			NON-CURRENT ASSETS (FIXED ASSETS)				
			Vehicles	70,000	38,000	32,000	1 for row
			Machinery	130,000	52,500	77,500	1 for row
				<u>200000</u>	<u>90500</u>	109500	
			CURRENT ASSETS				
			Trade receivables (Debtors) (30-3)	27,000			1
			Inventory (Stock)	5,000			2 for stock, VAT and Prepayments
			VAT	4,000			
			Other receivables (Prepayments)	<u>1,000</u>	37,000		One mistake - wrong, missing, additional items - award 1 mark.
			CURRENT LIABILITIES				
			Trade payables (Creditors)	20,000			2 for Accruals, Bank and Creditors
			Other payables (Accruals)	2,000			
			Cash and cash equivalents (Bank)	<u>15,000</u>	<u>37,000</u>	0	One mistake - wrong, missing, additional items - award 1 mark.
						109500	
			LESS NON-CURRENT LIABILITIES (LONG TERM LIABILITIES)				
			Loan - Affleck			<u>20,000</u>	1
			NET WORTH			<u>89,500</u>	
			FINANCED BY				
			EQUITY (CAPITAL) ACCOUNTS				
			Thomson		30,000		
			Affleck		<u>15,000</u>	45000	1 for both
			CURRENT ACCOUNTS				
			Thomson		36,220		
			Affleck		<u>8,280</u>	<u>44,500</u>	1 for both
						<u>89,500</u>	
							If no current accounts then accept 2000 Dr and 7000 Cr or any other adjusted figure.
							Loan must be last item in top or bottom section to gain mark.
			* 1 FOR CORRECT HEADING				11 TOTAL

Question			Expected Answer(s)					Max Mark	Additional Guidance
	(b)	(i)	New Profit Sharing Ratio						
				Thomson	Affleck	Spence			Names of partners do not need attached, accept any order.
			Current	2/3	1/3				
			On Admission	2/3 of 60%	1/3 of 60%				
				40%	20%	40%	1 for line		
			OR	2/5	1/5	2/5			
		(ii)	Calculation of New Balances						
				Thomson	Affleck	Spence			If Revaluation and Share of Profit then lose award for Revaluation.
			Original Balances	30,000	15,000	30,000			
			Revaluation Surplus	4,800	2,400		1 for line		
				34,800	17,400				If Loan and Goodwill is included then lose award for Goodwill.
			Goodwill	8,000	4,000		1 for line		
				42,800	21,400	30,000			
			Goodwill Written down	4,800	2,400	4,800	1 for line		Ignore the inclusion of current account balances.
			New Balances	38,000	19,000	25,200			
	(c)		From shareholders through the issue of Shares - Preference fixed dividend in return for investing in the company (1) or Ordinary - in return for a share of the profits in the form of a variable dividend (1) - successful year high dividend/poor year no or low dividend. Debentures - issue of loan/with fixed annual interest (1).					2	

Section 2

Question		Expected Answer(s)	Max Mark	Additional Guidance																																																																																
2.	(a)	J Wilson and L Donnelly Cash Budget for 3 months/September - November Year 2 ✓ (a) <table> <tr> <th></th><th>September</th><th>October</th><th>November</th><th></th></tr> <tr> <td>Opening Balance</td><td>35,500✓</td><td>63,618</td><td>74,598</td><td></td></tr> <tr> <td>Receipts</td><td></td><td></td><td></td><td></td></tr> <tr> <td>Cash Sales</td><td>76,800</td><td>45,600</td><td>33,600</td><td>2</td></tr> <tr> <td>Credit Sales - 1 Month</td><td>20,900</td><td>24,320</td><td>14,440</td><td>3</td></tr> <tr> <td>Credit Sales - 2 Months</td><td>21,168</td><td>21,560</td><td>25,088</td><td>3</td></tr> <tr> <td></td><td>118,868</td><td>91,480</td><td>73,128</td><td></td></tr> <tr> <td>Payments</td><td></td><td></td><td></td><td></td></tr> <tr> <td>Material</td><td>22,000</td><td>15,000</td><td>12,000</td><td>2</td></tr> <tr> <td>Labour</td><td>18,000</td><td>13,200</td><td>9,000</td><td>1</td></tr> <tr> <td>Labour - bonus</td><td>750</td><td>1,500</td><td>300</td><td>2</td></tr> <tr> <td>Variable Overhead - 1/3</td><td>12,000</td><td>8,800</td><td>6,000</td><td>1</td></tr> <tr> <td>Variable overhead - 2/3</td><td>20,000</td><td>24,000</td><td>17,600</td><td>2</td></tr> <tr> <td>Fixed Costs</td><td>18,000</td><td>18,000</td><td>18,000</td><td>1</td></tr> <tr> <td></td><td>90,750</td><td>80,500</td><td>62,900</td><td></td></tr> <tr> <td>Closing Balance</td><td>63,618</td><td>74,598</td><td>84,826</td><td>✓ 1</td></tr> </table> Heading, layout and opening and closing balances 1 mark		September	October	November		Opening Balance	35,500✓	63,618	74,598		Receipts					Cash Sales	76,800	45,600	33,600	2	Credit Sales - 1 Month	20,900	24,320	14,440	3	Credit Sales - 2 Months	21,168	21,560	25,088	3		118,868	91,480	73,128		Payments					Material	22,000	15,000	12,000	2	Labour	18,000	13,200	9,000	1	Labour - bonus	750	1,500	300	2	Variable Overhead - 1/3	12,000	8,800	6,000	1	Variable overhead - 2/3	20,000	24,000	17,600	2	Fixed Costs	18,000	18,000	18,000	1		90,750	80,500	62,900		Closing Balance	63,618	74,598	84,826	✓ 1	18	If no distinction between receipts and payments award marks to receipts only unless payments implied in the final total.
	September	October	November																																																																																	
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Question			Expected Answer(s)	Max Mark	Additional Guidance
	(b)		Two advantages of using a spreadsheet to prepare cash budgets are: (1 mark for each advantage given) Calculations with the use of formulae are more accurate. Graphs/charts can be prepared quite easily to present management accounting information. Forecasting is much easier with the use of "What if" statements. Changes can be made easily as the formulae will mean everything else changes as a result – ripple effect. Templates can be used.	2	Candidates must give 2 specific examples of using a spreadsheet. Accept any other advantages given.

Question			Expected Answer(s)	Max Mark	Additional Guidance																						
3.	(a)	(i)	Gearing ratio = Fixed Interest funding/Ordinary Share Equity Alpha = (£2,000,000+£2,000,000) / £2,000,000 = 2:1 1 Beta = (£1,000,000+£1,400,000) / £3,200,000 = 0.75:1 1	2	Ratio must be x:1																						
		(ii)	Alpha 1 as this is the highest geared and therefore fixed dividends/interest would have limited drain on profits, leaving more available for distribution to ordinary shareholders 1.	2																							
	(b)	(i) and (ii)	<i>the Profit for the Year after tax and interest;</i> <i>the profit available for ordinary dividends if company policy dictates that 25% is retained in the business.</i> <table><tr><td></td><td>£</td></tr><tr><td>Profit for the Year (before interest and tax)</td><td>960,000</td></tr><tr><td>Debenture Interest (£2,000,000 x 8%) 1</td><td>160,000</td></tr><tr><td></td><td>800,000</td></tr><tr><td>Corporation Tax (£800,000 x 30%) 1</td><td>240,000</td></tr><tr><td>Profit for the Year after Interest and Tax</td><td>560,000</td></tr><tr><td>(b)(ii)</td><td></td></tr><tr><td>Preference Dividends Payable (£2,000,000 x 10%) 1</td><td>200,000</td></tr><tr><td></td><td>360,000</td></tr><tr><td>Desired Retained Profit (£360,000 x 25%)</td><td>90,000</td></tr><tr><td>Proposed Dividend Payment</td><td>270,000 1</td></tr></table>		£	Profit for the Year (before interest and tax)	960,000	Debenture Interest (£2,000,000 x 8%) 1	160,000		800,000	Corporation Tax (£800,000 x 30%) 1	240,000	Profit for the Year after Interest and Tax	560,000	(b)(ii)		Preference Dividends Payable (£2,000,000 x 10%) 1	200,000		360,000	Desired Retained Profit (£360,000 x 25%)	90,000	Proposed Dividend Payment	270,000 1	2 2	Award corporation tax for 1 mark if Debenture Interest not included. If no preference dividend included award 1 to Proposed Dividend Payment of 75% of profit for the year.
	£																										
Profit for the Year (before interest and tax)	960,000																										
Debenture Interest (£2,000,000 x 8%) 1	160,000																										
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Desired Retained Profit (£360,000 x 25%)	90,000																										
Proposed Dividend Payment	270,000 1																										

Question		Expected Answer(s)	Max Mark	Additional Guidance
	(iii)	Dividend cover; Alpha = (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Share Dividend = £360,000 / £270,000 = 1.33 times 1 Beta = (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Share Dividend = £388,000 / £250,000 = 1.5 times 1	2	Times is not required to be stated for award.
	(iv)	Earnings Per Share; Alpha = (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Shares = £360,000/2,000,000 = £0.18 per share 1 Beta = (Profit for the Year after Tax & Interest - Preference Dividend)/Ordinary Shares = £388,000/3,200,000 = £0.12 per share 1	2	Profit for year after tax and interest - preference dividend may be consequential on (iii).
	(v)	Price/Earnings Ratio Alpha = Market Price per share/Earnings per Share = £1.35/£0.18 = 7.5 times 1 Beta = Market Price per share/Earnings per Share = £1.35/£0.12 = 11.25 times 1	2	Times is not required to be stated for award.

Question			Expected Answer(s)	Max Mark	Additional Guidance
	(c)		Short term investors may favour Alpha as EPS/PE Ratio more attractive. 1 EPS is 3p per share better than Beta and earning in relation to share price (7.5 times) may indicate a good time to buy in Alpha. 1 Those investors looking for a more secure, longer term investment may be attracted to the fact that Beta reinvested more profits back into the business, with a dividend cover of almost 2 times. 1 This is the cheapest form of funding available and may mean less need to borrow/further dilute equity in the future. 1	3	Pupils can recommend any company as long as it is justified.
	(d)	(i)	Accounting Rate of Return This is the ratio of average annual Profit for the Year before interest and tax to the equity invested in the project. 1 Payback Based upon an estimate of the time it will take a project to earn enough cash to cover its initial cost. 1	1	Accept either of the above techniques. One mark per description.

Question			Expected Answer(s)	Max Mark	Additional Guidance
		(ii)	Accounting Rate of return Advantages - It is an identifiable and familiar profitability ratio similar to Return on Equity Employed so is understandable to most managers. 1 - Easy to calculate. 1 - Emphasises the necessity of profit. 1 Disadvantages - Does not consider the time value of money. 1 - It ignores the timing of cash outflows and inflows. 1 - There is no target rate of return. 1 - It may lead to choosing a project which will only begin to maximise profits in later years, risking losses if market conditions change. 1 Payback Advantages - Very easy to understand and calculate. 1 - Can compare mutually exclusive projects. 1 - May encourage growth by favouring projects providing a quick return. 1 - Reduces the time during which liquidity is at risk. 1 Disadvantages - Calculation and timing of net cash flows may be difficult. 1 - Ignores profitability. 1 - Ignores net cash inflows after payback period. 1 - Ignores time value of money. 1	2	At least one advantage or disadvantage must be given for full marks.

Solution

1. No of planned meals for year 3 - $(3,000/0.75) \times 0.9 \times 50 = 180,000$ **2**
2. Working Note for all running costs

Cost	£	Marks	Additional Guidance
Renovation Costs (450 x 250)	112,500	1	Award marks on Statement if provided.
Depreciation on kitchen equipment (105,000 x 10%)	10,500	1	
Wages - Canteen Supervisor	29,360	1 for both	Award marks on Working Note regardless of labels.
Wages - cooks (17,500 x 2)	35,000		
Wages - kitchen assistants (Mon-Fri) (4 x 6 x 5 x 50 x 9) £ 51,840	54,000	1	Lose Depreciation award if Kitchen Equipment is included.
Wages - kitchen assistants (Sat-Sun) (2 x 2 x 4 x 18 x 50)	14,400	1	
Wages - holidays (4 x 6 x 5 x 2 x 9) £4,320	2,160	1	
Wages - temporary staff (4 x 6 x 5 x 2 x 7)	1,680	1	
Food supplies (2500 x 50)	125,000	1	
Cleaning and laundry (1,800 x 4)	7,200	1	
Consumables (180,000 c x 0.06)	10,800	1	
Other costs (1,700 x 12)	20,400	1	
Total Annual Running Cost	423,000		

Cost per meal = $\frac{423,000}{180,000}$ **c** £2.35 per meal **1**

Question			Expected Answer(s)	Max Mark	Additional Guidance
4.	(a)	(i)	Estimated Service Cost Statement for AJP plc for year 3 See previous page.	14	
		(ii)	Cost to AJP plc - £2.35 per meal Current cost per meal (Bell Catering) = (£9,000 x 50 weeks)/150,000 meals = £3.00 per meal. (1) Advice: Go ahead with the plan to take the catering in-house as cost per meal is cheaper. (1) (Be aware of consequentiality)	2	
	(b)		Abnormal Loss Treatment: • abnormal loss CPU is calculated to be same as “good” output (1) and entered in the “output” or “credit” side of the process account (1) • abnormal loss transferred to abnormal loss account on the input side/debit side of the account (1) • any scrap value earned from the abnormal loss is entered into the credit side of the abnormal loss account and debited to the bank account (1) • balance of abnormal loss account is transferred to the P&L Account by crediting the abnormal loss account and debiting the P&L Account. (1) <i>One mark per correctly outlined stage in the procedure for dealing with abnormal loss.</i>	4	

[END OF MARKING INSTRUCTIONS]

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